

README — Monthly EER Aggregates (Real-Time Vintages)

When using this dataset, please cite the paper: McCarthy, M. and S. Snudden (2024). *Forecasts of Period-Average Exchange Rates: Insights from Real-Time Daily Data*, LCERPA Working Paper 2024-6.

Overview

This archive contains real-time monthly vintages of nominal and real effective exchange rates (EERs) for the 79 countries used in the paper (coverage back to 1973 or earlier depending on country). Each monthly vintage is derived from the corresponding daily real-time inputs available at midnight on the last day of the month, and reported in two forms:

- LD (end-of-month): last daily observation of the month
- AVE (monthly average): calendar-month average of daily observations

Notes:

- A detailed description of the data construction and methodology is provided in Section 2 and Appendix C of the paper.
- The daily EER real-time vintages (160 countries) used to derive these monthly average and end-of-month vintages are available at <https://stephensnudden.com/data-code/>
- Real and nominal bilateral exchange rates are not included in this archive. These are available from the cited sources.

Folder structure (contains one CSV per ISO-3 country).

- LD/NEER/ and LD/REER/: end-of-month NEER/REER monthly vintages
- AVE/NEER/ and AVE/REER/: monthly-average NEER/REER monthly vintages
- LD_Target/NEER/ and LD_Target/REER/: end-of-month NEER/REER targets
- AVE_Target/NEER/ and AVE_Target/REER/: monthly-average NEER/REER targets

File format of targets (per-country CSV)

Each CSV contains:

- ym = YYYYMM (string)
- time = Monthly index (%tm)
- One column per forecast year, labeled tar_ld_YYYY or tar_ave_YYYY (e.g., tar_ave_2001)

Targets are constructed using the June 2023 vintage of bilateral nominal exchange rates (NER) and CPI, together with the trade weights available in the forecast year (YYYY).

Example: In AVE_Target/NEER/CAN.csv, the series tar_ave_2001 contains the NEER monthly-average target for 2001 computed using June 2023 NER and CPI and the 1996–2003 trade-weight regime applicable to 2001

File format of monthly vintages (LD/..., AVE/...)

Each CSV contains:

- ym = YYYYMM (string)
- time = Monthly index (%tm)

- One column per monthly vintage, labeled ld_MM_YYYY or ave_MM_YYYY (e.g., ld_01_2001, ave_01_2001)

Each vintage column is the NEER/REER series as constructed with information available at midnight on the last day of that month, i.e., the real-time series as of that month-end.

How this is used in the paper

Out-of-sample forecast accuracy for period-average EERs is evaluated against tar_ave_YYYY. See Section 3 for the out-of-sample design. Although period-average accuracy in the paper is evaluated against tar_ave_YYYY, we also provide tar_ld_YYYY for applications that require end-point targets.

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